

LoanServe — Know Your Customer Requirements

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Scope and Application

These requirements govern how LoanServe establishes and re-establishes the identity and address of every customer. They apply to an applicant, a co-applicant, a guarantor and any person holding a power of attorney on the account. Verification must be complete before a sanction is released and before any account specific information is disclosed. No account is opened or operated on the strength of a photocopy alone.

Accepted Documents

Permanent Account Number card, passport, voter identity card and driving licence are accepted as officially valid identity documents. A utility bill is accepted as address proof only if it is dated within the last three months. A passport is accepted as both identity proof and address proof.

Verification Timelines

Know Your Customer verification is completed within seven working days of receiving a complete document set. Video based customer identification is available between 8:00 AM and 8:00 PM on working days.

Periodic Update

High risk accounts require a periodic Know Your Customer update every two years. Low risk accounts require a periodic Know Your Customer update every ten years. A co-applicant must complete Know Your Customer verification independently of the primary applicant.

Verification Methods

Identity may be established in person at a branch, through video based customer identification, or through a bank verified digital process. In person verification requires the original document to be produced and returned after sighting. Video based identification is recorded, and the recording is retained as evidence of the verification. A verification carried out for one loan account may be relied on for a second account opened within twelve months.

Address and Change of Address

A permanent address and a current address are both recorded, and either may be used for correspondence at the customer's choice. A change of address is accepted only against a fresh officially valid document, never on a telephone instruction. A change of address is confirmed to both the old and the new address. Where a customer's address cannot be verified, correspondence is suspended until it is re-established.

Risk Categorisation

Every customer is placed in a low, medium or high risk category at onboarding, on the basis of occupation, source of funds and geography. A customer's category is reviewed whenever a periodic update falls due or whenever unusual activity is noticed. A politically exposed person is categorised as high risk and the relationship is approved a level above the usual authority. The category assigned is not disclosed to the customer.

Definitions

'Officially valid document' means a document accepted as proof of identity under the know your customer rules in force. 'Video based customer identification' means identity verification carried out over a live video

call with an authorised officer.

Exceptions and Discretion

Where a document is in a language other than English or Hindi, a certified translation is required and the branch head must record having sighted it. A deficient document set may be accepted for processing but never for disbursal. The requirement for independent verification of a co-applicant is not waived in any circumstance. An exception is recorded on the customer file with the name of the officer who granted it.

Records and Evidence

Copies of officially valid documents, the verification record and any video recording are retained for eight years from the closure of the relationship. Where a relationship is refused, the record of the refusal is retained for five years. A customer may ask what documents are held on their file and is told within thirty days.

Related Policies

The Know Your Customer Requirements should be read with: Eligibility Norms, Non-Resident Indian Lending Policy.

Regulatory and Compliance Notes

These requirements follow the know your customer directions in force, including those on periodic updating and on video based identification. Suspicious activity is reported to the designated authority through the principal officer, and the customer is not informed of that report. No customer is denied a service solely because a periodic update has fallen due, provided the update is completed within the notified period.

Review and Governance

Owned by the Compliance team and reviewed whenever the regulator revises the list of officially valid documents.